



House of Representatives

General Assembly

File No. 109

February Session, 2026

Substitute House Bill No. 5280

House of Representatives, March 23, 2026

The Committee on Labor and Public Employees reported through REP. SANCHEZ, E. of the 24th Dist., Chairperson of the Committee on the part of the House, that the substitute bill ought to pass.

AN ACT CONCERNING A NONCHARGE FOR EMPLOYEES PAID BENEFITS THROUGH THE SHARED WORK PROGRAM DURING PERIODS OF HIGH UNEMPLOYMENT.

Be it enacted by the Senate and House of Representatives in General Assembly convened:

1 Section 1. Subsection (c) of section 31-225a of the 2026 supplement to
2 the general statutes is repealed and the following is substituted in lieu
3 thereof (*Effective October 1, 2026*):

4 (c) (1) (A) Any week for which the employer has compensated the
5 claimant in the form of wages in lieu of notice, dismissal payments or
6 any similar payment for loss of wages shall be considered a week of
7 employment for the purpose of determining employer chargeability.

8 (B) No benefits shall be charged to any employer who paid wages of
9 five hundred dollars or less to the claimant in his or her base period.

10 (C) No dependency allowance paid to a claimant shall be charged to
11 any employer.

12 (D) In the event of a natural disaster declared by the President of the
13 United States, no benefits paid on the basis of total or partial
14 unemployment that is the result of physical damage to a place of
15 employment caused by severe weather conditions including, but not
16 limited to, hurricanes, snow storms, ice storms or flooding, or fire except
17 where caused by the employer, shall be charged to any employer.

18 (E) If the administrator finds that (i) an individual's most recent
19 separation from a base period employer occurred under conditions that
20 would result in disqualification by reason of subdivision (2), (6) or (9) of
21 subsection (a) of section 31-236, or (ii) an individual was discharged for
22 violating an employer's drug testing policy, provided the policy has
23 been adopted and applied consistent with sections 31-51t to 31-51aa,
24 inclusive, section 14-261b and any applicable federal law, no benefits
25 paid thereafter to such individual with respect to any week of
26 unemployment that is based upon wages paid by such employer with
27 respect to employment prior to such separation shall be charged to such
28 employer's account, provided such employer shall have filed a notice
29 with the administrator within the time allowed for appeal in section 31-
30 241.

31 (F) No base period employer's account shall be charged with respect
32 to benefits paid to a claimant if such employer continues to employ such
33 claimant at the time the employer's account would otherwise have been
34 charged to the same extent that he or she employed him or her during
35 the individual's base period, provided the employer shall notify the
36 administrator within the time allowed for appeal in section 31-241.

37 (G) If a claimant has failed to accept suitable employment under the
38 provisions of subdivision (1) of subsection (a) of section 31-236 and the
39 disqualification has been imposed, the account of the employer who
40 makes an offer of employment to a claimant who was a former
41 employee shall not be charged with any benefit payments made to such
42 claimant after such initial offer of reemployment until such time as such
43 claimant resumes employment with such employer, provided such
44 employer shall make application therefor in a form acceptable to the

45 administrator. The administrator shall notify such employer whether or
46 not his or her application is granted. Any decision of the administrator
47 denying suspension of charges as herein provided may be appealed
48 within the time allowed for appeal in section 31-241.

49 (H) Fifty per cent of benefits paid to a claimant under the federal-state
50 extended duration unemployment benefits program established by the
51 federal Employment Security Act shall be charged to the experience
52 accounts of the claimant's base period employers in the same manner as
53 the regular benefits paid for such benefit year.

54 (I) No base period employer's account shall be charged with respect
55 to benefits paid to a claimant who voluntarily left suitable work with
56 such employer (i) to care for a seriously ill spouse, parent or child, or (ii)
57 due to the discontinuance of the transportation used by the claimant to
58 get to and from work, as provided in subparagraphs (A)(ii) and (A)(iii)
59 of subdivision (2) of subsection (a) of section 31-236.

60 (J) No base period employer's account shall be charged with respect
61 to benefits paid to a claimant who has been discharged or suspended
62 because the claimant has been disqualified from performing the work
63 for which he or she was hired due to the loss of such claimant's operator
64 license as a result of a drug or alcohol test or testing program conducted
65 in accordance with section 14-44k, 14-227a or 14-227b while the claimant
66 was off duty.

67 (K) No base period employer's account shall be charged with respect
68 to benefits paid to a claimant whose separation from employment is
69 attributable to the return of an individual who was absent from work
70 due to a bona fide leave taken pursuant to sections 31-49f to 31-49t,
71 inclusive, or 31-51kk to 31-51qq, inclusive.

72 (L) On and after January 1, 2027, no base period employer's account
73 shall be charged with respect to benefits paid to a claimant through the
74 voluntary shared work unemployment compensation program,
75 established pursuant to section 31-274j, if a claim for benefits is filed in
76 a week in which the state is in an extended benefit period or high

77 unemployment period, pursuant to sections 31-232b to 31-232g,
78 inclusive. Such noncharge shall continue until the United States
79 Secretary of Labor has notified the Labor Commissioner that such
80 extended benefit period or high unemployment period has been
81 triggered off.

82 (2) All benefits paid that are not charged to any employer shall be
83 pooled.

84 (3) The noncharging provisions of this chapter, except subparagraphs
85 (D), (F) and (K) of subdivision (1) of this subsection, shall not apply to
86 reimbursing employers.

This act shall take effect as follows and shall amend the following sections:		
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Section 1	October 1, 2026	31-225a(c)
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Statement of Legislative Commissioners:

Subparagraph (L) was moved into Subdivision (1) for proper form.

LAB Joint Favorable Subst. -LCO

The following Fiscal Impact Statement and Bill Analysis are prepared for the benefit of the members of the General Assembly, solely for purposes of information, summarization and explanation and do not represent the intent of the General Assembly or either chamber thereof for any purpose. In general, fiscal impacts are based upon a variety of informational sources, including the analyst's professional knowledge. Whenever applicable, agency data is consulted as part of the analysis, however final products do not necessarily reflect an assessment from any specific department.

OFA Fiscal Note

State Impact:

Agency Affected	Fund-Effect	FY 27 \$	FY 28 \$
Labor Dept.	UITF - Potential Savings	See Below	See Below

Note: UITF=Unemployment Insurance Trust Fund

Municipal Impact: None

Explanation

The bill exempts benefits paid through the voluntary shared work program¹ from being charged to an employer's experience account for claims filed during weeks in which the state is in an extended benefit or high unemployment period, which results in potential savings to the Unemployment Insurance Trust Fund.

To the extent the change encourages greater employer participation in the shared work program, the bill may avoid costs to the trust fund if shared work arrangements reduce layoffs and related payments of full benefits. Furthermore, since paid benefits would not be charged to certain individual employers' experience accounts under the bill, they would be "pooled" or shared among all taxable employers.

The Out Years

The annualized ongoing fiscal impact identified above would continue into the future subject to increases in the shared work program participation and employee's benefit amounts.

¹ The voluntary shared work unemployment compensation program helps employers avoid layoffs during downturns by allowing reduced employee hours and wages, while employees receive partial unemployment benefits for lost hours.

OLR Bill Analysis**HB 5280*****AN ACT CONCERNING A NONCHARGE FOR EMPLOYEES PAID BENEFITS THROUGH THE SHARED WORK PROGRAM DURING PERIODS OF HIGH UNEMPLOYMENT.*****SUMMARY**

Beginning January 1, 2027, this bill reinstates a provision similar to one repealed in 2025 on an unemployment insurance (UI) tax “non-charge” for employers using a shared work program. Under the bill, this non-charge applies when the state is in an extended benefit period or high unemployment period (generally, when the unemployment rate exceeds 6.5% for three months). Under the bill, the non-charge must continue until the U.S. labor secretary notifies the state labor commissioner that the extended benefit period or high unemployment period has been triggered off.

PA 25-117, § 5 repealed a similar provision related to the shared work program that (1) required a non-charge when the state’s average unemployment rate was at least 6.5% based on the most recent three months of data published by the Department of Labor (DOL) and (2) permitted a non-charge when the state’s average unemployment rate was at least 8% in the most recent month of DOL-published data.

EFFECTIVE DATE: October 1, 2026

BACKGROUND***Employer UI Taxes***

In general, a portion of an employer’s UI taxes are based on the employer’s “experience rate,” which reflects the amount of unemployment benefits paid to the employer’s former employees over a certain period. The law, however, allows several non-charging separations in which an employee can collect benefits without affecting

a former employer's experience rate. (The benefits paid to the former employee are "pooled" and paid by all employers who pay unemployment taxes.)

Shared Work Program

The Shared Work Program is a voluntary program that allows employers to reduce their employees' work hours in place of layoffs. The affected employees receive a proportionally reduced unemployment benefit.

COMMITTEE ACTION

Labor and Public Employees Committee

Joint Favorable

Yea 13 Nay 0 (03/05/2026)